

a shortage of young population of around 56 million by 2020, India will be only country with a youth surplus of 47 million. (Report on Education, Skill Development and Labour Force (2013-14) Volume III, Land Bureau, 2014). India will not only have a young work force to fulfil its domestic needs but also an opportunity to become the global hub for skilled work-force. (Niti Aayog, 2017).

According to Dyson “More than half of the demographic growth during 2001-2026 will occur in the northern states like Bihar, Madhya Pradesh, Rajasthan and U.P. The populations of these four states will increase around 45-55 per cent over this period, but those of other states will grow by only about 20-30 per cent.” Unleashing the demographic dividend is one of the biggest challenges that India faces today. Some states like Kerala, Goa, Tamil Nadu, Andhra Pradesh, Punjab, Himachal Pradesh and West Bengal have surpassed average age of 29 years and hence shall be experiencing population ageing soon. States like Bihar, Madhya Pradesh, Rajasthan, and Uttar Pradesh have huge potential demographic dividend that can be utilised if timely action is taken. Equipping the young population with health, education, employment opportunities and adequate skills is of paramount importance.

The demographic window of opportunity has several challenges.

1) Education and Skills

Human resource development plays an important role in unlocking demographic dividend. Investment in education helps in increasing productive labour force and empowers them with increased knowledge and skill. The public expenditure on education has been very low (around 3.6 per cent) as against the goal of 6 per cent. The current contribution is significantly less if we aim universalisation of elementary education, universal provision of resources, universal enrolment and retention and growth in secondary and higher education. Education can act as a powerful instrument of social change and economic development. The quality of education needs to be addressed immediately which is possible if we increase investment in education and allocate resources judiciously.

Education empowers youth with skills and vision that help them contribute productively in today's knowledge economy. India dreams of becoming skill capital in today's world. For that we need to work on the quality of India's primary, secondary and tertiary education. Quality education augments knowledge, skills and productivity of students who later on get employed productively in different sectors of the economy. Hence education is the back-bone of young India's ability to harness the demographic dividend. Girl's education can further serve as an instrument for promoting fertility decline. Education raises the opportunity cost of having children and hence working and educated women prefer having less number of children. The cost of investment per child also goes up as parents invest more in health and education of each child raising productive capacity of future generation.

States need to adopt specific policy measures in the field of education-

- i) Improving access to education considering high dropout rates among senior students.
- ii) Removing gender disparity in the higher age group and in the rural areas.

- iii) Improving quality of education, including pupil-teacher ratios and provision of amenities in schools, especially in view of the declining learning levels. (Economic Survey 2014-15).

Southern states had harnessed the benefits of demographic dividend since they had higher education enrolment and better quality of education and learning levels. The northern states have huge demographic potential due to declining fertility rate. They have time to plan and pursue policies in several areas like education, health, gender issues and employment generation to garner the benefits of demographic opportunity.

2) Employment

The benefits of demographic bonus with diminishing dependency ratio cannot be reaped unless the country's working age population to total population improves in the face of expansion in employment opportunities. The benefits of demographic dividend are neither automatic nor guaranteed. India's economic growth has not been very employment friendly. The quality of available employment has fallen as the share of unorganised and casual work in total employment has risen. Roughly 93 per cent of the workforce is employed in the informal sector. India's high rate of informality is a drag on its economic development and source of economic inequality. Informal workers lack job security and are vulnerable to shocks such as loss of income and illness. They earn less, work in unsafe environment and are hence less productive compared to the formal workers.

India experienced three paradoxes of economic growth (Santosh Mehrotra, 2016)

- i) There has been social inclusion but very little inclusive growth. Inclusive growth can be defined as one where output growth is accompanied by employment growth. When the growth is inclusive, the benefits of growth reach the bottom sections of the society. It was found that, despite high growth rate of national income, most of the increase in the employment took place in unregistered enterprises in the form of informal employment.
- ii) In the period of sustained rapid economic growth from 2005-10 manufacturing employment declined in the absolute terms and services employment barely grew at all. Employment increase has been concentrated in construction sector which absorbed unskilled workers leaving agriculture, due to slow agricultural growth and chronic rural distress driven by shrinking farm size.
- iii) The female labour force participation rates have been falling, despite rising per-capita income. Women's labour force participation rate dropped from 42.7 per cent in 2004-05 to 31.2 per cent in 2011-12 and further to 27.4 per cent in 2015-16. The participation rates are lower in urban areas and among the educated women.

India is at a crucial point of its demographic dividend since window of opportunity will not last forever. The youth must get productive jobs in agricultural and non-agricultural sector for the demographic dividend to be realised.

The realisation of India's demographic dividend depends upon favourable demographics and capacity to create productive employment opportunities for youth. We have the advantage of being youngest nation on the planet but we still have not skilled our youth sufficiently and created ample job opportunities. Youth unemployment is one of the biggest challenges that our nation is facing today. To overcome this challenge we have to adopt certain policies:

A) Efficient Infrastructure

Economic infrastructure includes reliable roads, railways, telecommunications, water supply, sanitation, agricultural needs etc. Social infrastructure also comprises of education and health services that needs to be improved considerably. Investment in education and training will equip the youth with different skills and enhance their employability capabilities. Expansion of primary and secondary schools along with quality up gradation can help in achieving goal of universalisation of literacy and promote employment opportunities. Expansion of health services will promote demand for doctors, paramedical personnel and other diagnostic centre that will enlarge employment.

Provision of rural infrastructure can be tapped as an important source of employment generation. Connecting roads in rural areas to urban areas and four lane highways projects should be encouraged. Prime Minister's Gram Sadak Yojana is aimed at connecting all villages with pucca road and is a labour-intensive project.

B) Information Technology

IT industry has opened employment opportunities for educated youth and has a great future. Government has a major role in expanding computer education to rural areas and bottom sections of the society so that the capabilities of youth are directed towards IT jobs.

C) Small Scale Industries

In the manufacturing sector, small scale industries contribute 86 per cent of the employment while medium and large scale industries contribute 14 per cent of the employment. The major problem with SSI units is credit and upgradation of technology. The government's initiatives in providing higher amount of credit through MUDRA schemes would enlarge employment generation.

D) Reformed Outlook towards Informal Sector

Informal sector employs a large proportion of casual workers and self employed workers in total labour force. Around 93 per cent of the work-force is absorbed in the informal or unorganised sector. Hence it is important to make it easier and accessible for the job seekers to find self-employment in productive work during the transformation of economic structure into organised system. All the legal and regulatory hurdles in form of difficulties in availability of credit and marketing should be addressed by the government immediately. Encouraging the informal sector by providing the workers social security and cash transfers would help them to sustain lives and improve their standard of living.